

PRIMARY RESIDENCE – TEXAS 50(A)(6) REFINANCE ¹

Property Type	Maximum LTV	Maximum CLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Condo PUD	80%	80% ²	See appropriate product description for required credit score and/or AUS response.	

- Loans should be evaluated based on the Agency definitions and parameters of rate and term or cash out. If the loan meets Agency guidelines for rate term, the purpose code can be rate and term but the loan must still meet Texas Home Equity guides if paying off a previous A-6.
- Maximum LTV of first mortgage for loans with subordinate financing is 75%.

PROGRAM SUMMARY

Provisions relating to first lien, refinance mortgage loans originated pursuant to Section 50(a)(6), Article XVI of the Texas Constitution.

ELIGIBLE PRODUCTS

Homestead 50(a)(6) transactions are allowed on the products listed below. Loan parameters and credit guidelines must follow the appropriate product description as well as the additional requirements included within this document.

Product Name	Document Number
Fannie Mae 8-Year Fixed	Doc. #5301
Fannie Mae 10-Year Fixed	Doc. #5301
Fannie Mae 12-Year Fixed	Doc. #5301
Fannie Mae 15-Year Fixed	Doc. #5301
Fannie Mae 20-Year Fixed	Doc. #5301
Fannie Mae 22-Year Fixed	Doc. #5301
Fannie Mae 25-Year Fixed	Doc. #5301
Fannie Mae 27-Year Fixed	Doc. #5301
Fannie Mae 30-Year Fixed	Doc. #5301
Fannie Mae HomeReady 30-Year Fixed	Doc. #5318
Fannie Mae HomeReady 20-Year Fixed	Doc. #5318
Fannie Mae HomeReady 15-Year Fixed	Doc. #5318
Fannie Mae HomeReady 10-Year Fixed	Doc. #5318
Freddie Mac 10-Year Fixed	Doc. #5302
Freddie Mac 12-Year Fixed	Doc. #5302
Freddie Mac 15-Year Fixed	Doc. #5302
Freddie Mac 20-Year Fixed	Doc. #5302
Freddie Mac 22-Year Fixed	Doc. #5302
Freddie Mac 25-Year Fixed	Doc. #5302
Freddie Mac 27-Year Fixed	Doc. #5302
Freddie Mac 30-Year Fixed	Doc. #5302
Home Possible 30-Year Fixed	Doc. #5335
Home Possible 25-Year Fixed	Doc. #5335
Home Possible 20-Year Fixed	Doc. #5335
Home Possible 15-Year Fixed	Doc. #5335

Product Name	Document Number
Agency 5/6 SOFR ARM	Doc. #5331
Agency 7/6 SOFR ARM	Doc. #5331
Agency 10/6 SOFR ARM	Doc. #5331
Jumbo 5/6 SOFR ARM	Doc. #5415
Jumbo 7/6 SOFR ARM	Doc. #5415
Jumbo 10/6 SOFR ARM	Doc. #5415
Jumbo Express	Doc. #5432

LOAN AMOUNTS

Please refer to each product description for minimum and maximum loan amounts.

LICENSING

Each participating broker must be the following:

- Federally-chartered
- HUD-approved mortgagee, and/or
- Possess a Texas Chapter 3A license.

INELIGIBLE BORROWERS

Non-occupant co-borrowers are not eligible. All borrowers must occupy the subject property as their primary residence.

ELIGIBLE HOMESTEADS

Homesteads located in urban areas must be no larger than 10 acres and may consist of one or more contiguous lots, together with any improvements thereon. A homestead is considered to be urban if the property is:

- Located within the limits of a municipality or its extraterritorial jurisdiction or a platted subdivision; and,
- Served by police protection, paid or volunteer fire protection, and at least three of the following services provided by a municipality or under contract to a municipality:
 - Electric
 - Natural gas
 - Sewer
 - Storm sewer
 - Water

Homesteads in rural areas shall consist of:

- For a family, not more than 200 acres, which may be in one or more parcels, with the improvements thereon; or,
- For a single, adult person, not otherwise entitled to a homestead, not more than 100 acres, which may be in one or more parcels, with the improvements thereon.

ELIGIBLE PROPERTY TYPES

- 1-unit
- Condominium (warrantable under Fannie Mae or Freddie Mac guidelines or eligible for Limited Review)
- PUD
- Modular home
- Manufactured Housing – where allowed by the underlying first mortgage loan program

INELIGIBLE PROPERTY TYPES

- 2 to 4-unit
- Condominium (not warrantable under Fannie Mae or Freddie Mac guidelines)
- Cooperative

APPRAISAL

A new appraisal must be obtained, including both interior and exterior inspections to determine current value on either Uniform Residential Appraisal Report (Form 1004) or the Individual Condominium Unit Appraisal Report (Form 1073).

Refer to [Conventional Underwriting Guidelines](#) for *Declining Market* and *Private Mortgage Insurance* policies.

UNDERWRITING

All loans must meet the parameters as set out in Flagstar Bank's [Conventional Underwriting Guidelines](#), as amended.

- *Notice Concerning Extensions of Credit* Defined by Section 50(a)(6), Article XVI, Texas Constitution, Flagstar [Doc. #3640](#) or VMP Form 8032(TX) will be added as a *prior to close* condition. Refer to the [Cooling-off Period](#) section for details.
- *A Notice Concerning Refinance of Existing Home Equity loan to Non-Home Equity Loan*, [Doc. #3640-A](#) aka The Disclosure for Refinance of Home Equity Loan to Non-Home Equity Loan.
- Refinances of prior Texas home equity loans must also, according to Texas law, be considered as a home equity loan, and subject to all of the terms and conditions of this product, even if no new equity is withdrawn from the property. Such loans must be underwritten, priced and closed as Texas Homestead 50(a)(6) loans.
- Borrowers may only obtain one Texas home equity loan in any 12-month period.
- All Fixed loans must receive an *Approve/Eligible* response from DU or Accept from LPA and must meet all DU/LPA requirements. All ARM loans must receive an Approve/Eligible response from DU. ARM programs cannot be targeted to Freddie Mac.

REFINANCING A HOME EQUITY LOAN

- The borrower must be provided with the Notice Concerning Refinance of Existing Home Equity loan to Non-Home Equity Loan Disclosure within 3 days of the application and at least 12 or more days before the date of refinance.
- When the new loan is no longer considered a TX 50(a)(6), the restrictions that apply to a TX 50(a)(6) loans do not apply to the new transaction (e.g., Ineligible for Property Inspection Waiver).

TEMPORARY BUYDOWNS

Not eligible

COOLING-OFF PERIOD

Each loan requires a cooling-off period of at least 12 days prior to closing. The cooling-off period begins from the application date or the date that all borrowers, owners, spouses, etc. sign the *Notice Concerning Extensions of Credit Defined by Section 50(a)(6), Article XVI, Texas Constitution*, [Doc. #3640](#) or VMP Form 8032(TX).

TITLE INSURANCE

A commitment of title insurance must be provided on Form T-2 and must include all standard endorsements plus the following:

- Equity Loan Mortgage Endorsement (Form T-42)
- Supplemental Coverage Equity Loan Mortgage Endorsement (Form T-42.1)

MORTGAGE INSURANCE

Not required

FEES

Borrowers may not be charged in excess of 2% of the loan amount in total fees. The 2% fee cap excludes fees related to appraisal, property survey, title insurance premiums, title examination, lender-paid fees, homeowner's insurance premiums, flood insurance premiums, property taxes, escrows for homeowner's insurance, flood insurance and property taxes, or late charges.

All standard Flagstar fees will apply, including the Administrative Fee.

CLOSING

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available on [the system](#).

Closings may take place at the office of the originating lender, an attorney-at-law or a title company. Power of attorney and mail-away signatures are not acceptable.

No one shall be required to sign any document in which blanks are left to be filled in. At closing, each person must be given copies of all documents they have signed and must sign the *Acknowledgement of Receipt of Documents and Notice of Extension of Credit – Texas*, [Doc. #3639](#) stating so and also acknowledge that they have received the *Notice Concerning Extensions of Credit* Defined by Section 50(a)(6), Article XVI, Texas Constitution at least 12 days prior to closing.

CLOSING DOCUMENTATION

- Texas Home Equity Note as applicable:
 - Fixed-rate loan – Fannie/Freddie Form #3244.1
 - ARM loan – Fannie/Freddie Form #3442.44
- Texas Home Equity Security Instrument – Fannie/Freddie Form #3044.1
- Texas Home Equity Affidavit and Agreement – Fannie/Freddie Form #3185
- *Texas Discount Point Acknowledgement*, [Doc. #3926](#)

- *Affidavit of Fair Market Value of Homestead Property*, [Doc. #3654](#) (with appraisal attached), or VMP Form #8033(TX)
- Title commitment (Form T-2) with applicable endorsements. See Title Insurance section for details.
- Notice of Right to Cancel (federal)
- *Acknowledgement of Receipt of Documents and Notice of Extension of Credit – Texas*, [Doc. #3926](#)

If applicable:

- ARM Loan Rider – Fannie/Freddie Form #3142.44
- Texas Home Equity Condominium Rider - Fannie/Freddie Form #3140.44
- Texas Home Equity Planned Unit Development Rider - Fannie/Freddie Form #3150.44

POST-CLOSING

The Texas three day right of rescission and federal three day right of rescission must run after closing. The Texas three day right of rescission refers to calendar days, while the federal three day right of rescission refers to business days. Therefore, compliance with the federal rescission period satisfies the Texas rescission period.

After the rescission period has passed and the loan has disbursed, the closing package must be sent to Flagstar's corporate office in Troy, Michigan along with the *Addendum to Post-Closing Checklist*, [Doc. #3653](#). All items listed on the checklist must be included with the closing package.